Stock-Value Ratio for Railroad and Public-Utility Companies. In the case of industrial companies the stock-value ratio may be easily calculated. Railroads and public utilities, however, are likely to present various complications. In addition to the bonded debt as shown in the balance sheet, it may also be necessary to consider rental obligations equivalent to debt and preferred stocks of subsidiaries ranking ahead of parent company bonds. These difficulties militate somewhat against the use of the stock-value ratio test for railroad and utility bonds. However, we believe that a careful investor should apply the stock-value test in these fields as well as to industrial. As we shall point out in the next chapter, the stock-value test would have been of great utility in guarding against the mistaken purchase of many railroad bonds at high prices during 1935–1937. In the next chapter, also, we shall describe the procedure of *capitalizing the fixed charges* to arrive at a fair estimate of total debt when the balance sheet may not tell the whole story.

Stock-Value Test Not to Be Modified to Reflect Changing Market Conditions. The question arises: To what extent should the stock-value ratio test be modified to reflect changing market conditions? It would seem proper to expect, and therefore to demand, a higher relative market value for the stock behind a bond issue when times are good than during a depression. If $1 of stock to $1 of bonds is taken as the "normal" requirement for an industrial company, would it not be sound to demand, say, a $2-to-$1 ratio when stock prices are inflated, and conversely to be satisfied with a 50-cent-to-$1 ratio when quotations are far below intrinsic values? But this suggestion is impracticable for two reasons, the first being that it implies that the bond buyer can recognize an unduly high or low level of stock prices, which is far too complimentary an assumption. The second is that it would require bond investors to act with especial caution when things are booming and with greater confidence when times are hard. This is a counsel of perfection which it is not in human nature to follow. Bond buyers are people, and they cannot be expected to escape entirely either the enthusiasm of bull markets or the apprehensions of a severe depression.

We should not propose a rule, therefore, by which investors are to require a larger than usual stock-value ratio when prices are high; for such advice will not be followed. (But if the bond buyer is personally convinced that stock prices are dangerously high, he would be wise to insist on a